American civilization: advertising and marketing, the essentials

The big picture

Modern advertising was born in the United States after the Civil War: mass production and a national market forced manufacturers to create demand and brand loyalty. It then professionalized (agencies, reason-why, PR), learned to measure itself (Gallup, Nielsen), boomed with television (USP, creative revolution), was regulated (FTC, tobacco) and fragmented into segments and digital targeting. Know dates, names, campaigns; analyze ads in context.

01 The birth of advertising

Key idea : When mass production outran local demand, advertising shifted from announcing products to creating demand and building brands, carried by professional agencies and public relations.

- Supply exceeds demand; national market unified by railroad, telegraph, mail
- National packaged brands replace bulk goods; national magazines financed by ads; catalogs (Montgomery Ward, Sears)
- Key shift: informational (announcement) → persuasive advertising (create demand, brand loyalty)
- N. W. Ayer & Son: agency serves the advertiser (open contract, transparent commission, creative work)
- Reason-why (Kennedy, Lasker, Hopkins at Lord & Thomas): give concrete reasons to buy; Hopkins: test ads, coupons, precise facts
- Atmosphere school (MacManus, Cadillac 'The Penalty of Leadership', 1915): image, emotion, prestige
- Bernays (Freud's nephew): PR shapes opinion via press, events, experts; 'torches of freedom' (1929) for American Tobacco

KEY DATES

1869	N. W. Ayer & Son founded in Philadelphia
1879 / 1886 / 1898	Ivory soap (P&G) / Coca-Cola / Uneeda biscuits
1883	Ladies' Home Journal
1899	Ayer's Uneeda campaign for the National Biscuit Company
1904	Lasker adopts Kennedy's 'salesmanship in print'
1906	Pure Food and Drug Act (patent medicines); Ivy Lee's Declaration of Principles
1917–1919	Bernays at the Creel Committee (Committee on Public Information)
1923 / 1928 / 1947	Hopkins 'Scientific Advertising' and Bernays 'Crystallizing Public Opinion' / 'Propaganda' / 'engineering of consent'

DON'T CONFUSE

- *Reason-why (rational argument) | Atmosphere (suggestion, prestige)* : Rival schools that resurface later as USP vs creative revolution.
- *Advertising (paid space, identified sender, sells a product) | Public relations (press, events, opinion leaders)* : PR targets image and opinion through unpaid, often indirect channels.

> ***Memory hook :*** *A-L-H: Ayer builds the agency, Lasker sells in print, Hopkins measures; Bernays works behind the scenes.*

RECITE WITHOUT LOOKING

1. **Why was modern advertising born in the US at the end of the 19th century?** → Mass production exceeded local demand in a national market (rail, mail, telegraph): ads had to create demand and brand loyalty.
2. **What is 'salesmanship in print'?** → Kennedy's formula adopted by Lasker in 1904: advertising is selling in writing (reason-why copy).
3. **What did Hopkins recommend in 'Scientific Advertising' (1923)?** → Test ads and measure results (reply coupons); prefer precise facts to vague formulas.
4. **Name Bernays's two books and his 1929 stunt.** → 'Crystallizing Public Opinion' (1923), 'Propaganda' (1928); 'torches of freedom' in the New York Easter Parade.

02 Measurement

Key idea : From the 1920s, advertisers measured audiences and effectiveness: representative samples (Gallup) and ratings (Nielsen) became the currency of the advertising market.

- Gallup: sample surveys applied to ad readership at Young & Rubicam
- 1936: Gallup's representative sample predicts Roosevelt's reelection; Literary Digest's huge mail survey (well-off households) gets it wrong
- Nielsen: radio then TV ratings via the Audimeter; ratings set the price of space
- Dichter's motivation research (1950s): psychoanalysis applied to consumption
- Packard denounces it in 'The Hidden Persuaders' (1957)
- Market research = quantitative (polls, ratings) + qualitative (interviews, groups)

KEY DATES

1923	Arthur C. Nielsen founds his company
1932	Gallup hired by Young & Rubicam
1935	Gallup founds the American Institute of Public Opinion
1936	Gallup correctly forecasts Roosevelt's reelection
1957	Packard, 'The Hidden Persuaders'

DON'T CONFUSE

- *Large sample (Literary Digest) | Representative sample (Gallup)* : Representativeness, not size, makes a poll reliable.

> ***Memory hook :*** *Gallup counts opinions, Nielsen counts TV sets, Dichter digs into the unconscious, Packard blows the whistle.*

RECITE WITHOUT LOOKING

1. **Why did Gallup beat the Literary Digest in 1936?** → His sample, though smaller, was representative; the Digest surveyed mainly well-off households.

2. **What did Nielsen measure and why did it matter?**→ Radio then TV audiences (Audimeter); ratings set the price of advertising space.
3. **Match Dichter and Packard.**→ Dichter: motivation research (1950s); Packard: its critique in 'The Hidden Persuaders' (1957).

03 The golden age

Key idea : Television made advertising the engine of postwar mass consumption: first the repeated USP of the 1950s, then the witty, ironic creative revolution of the 1960s.

- TV in households: under 10% in 1950, nearly 90% in 1960
- Sponsorship (one advertiser controls a program) → spots sold by networks after the quiz show scandals (1958-1959)
- USP (Rosser Reeves, Ted Bates): a concrete proposition, unique, strong enough to make people switch, repeated (M&M's)
- Bernbach (DDB, 1949): copywriter + art director team, humor, apparent honesty, reader's intelligence
- DDB: Volkswagen 'Think Small' (1959), Avis 'We try harder' (1962)
- Ogilvy: brand image (Hathaway man, 1951; Rolls-Royce, 1958); Leo Burnett: Marlboro Man (1955)
- Thomas Frank: 'hip consumerism', ads co-opt counterculture codes (nonconformism, irony)

KEY DATES

1952	Reeves's 'Eisenhower Answers America' spots: TV ads enter presidential campaigns
1958-1959	Quiz show scandals: end of sponsorship, rise of spots
1959	VW 'Think Small' (DDB)
1961	Reeves, 'Reality in Advertising' formalizes the USP
1962	Avis 'We try harder'

DON'T CONFUSE

- *1950s USP: serious, repetitive; reader convinced by repetition | Creative revolution: humor, irony; reader intelligent and complicit* : Opposite tone and organization (separate copywriter and designer vs creative team).
- *USP | Any slogan* : The USP must state a distinctive benefit, not just a catchy phrase.
- *Creative revolution (ad style) | Counterculture (social movement)* : For Frank, advertising appropriated counterculture codes rather than being part of it.

> ***Memory hook :*** *M&M's melts in your mouth (one message, hammered) vs the tiny Beetle in a sea of white space (a wink).*

RECITE WITHOUT LOOKING

1. **What are the components of the USP?**→ A concrete proposition, unique to the brand, strong enough to win new customers, repeated relentlessly (Reeves, 1961).
2. **Why did networks switch from sponsorship to spots?**→ The rigged quiz show scandals (1958-1959) discredited advertisers' control of programs.
3. **Name two DDB campaigns with dates.**→ Volkswagen 'Think Small' (1959) and Avis 'We try harder' (1962).
4. **What is 'hip consumerism'?**→ Thomas Frank: consumption presented as nonconformist and rebellious, co-opting counterculture codes.

04 Regulation

Key idea : US advertising is regulated by the FTC against deceptive practices but protected as commercial speech by the First Amendment; tobacco shows the step-by-step tightening.

- FTC created in 1914 for unfair competition; Wheeler-Lea Act (1938) adds deceptive practices toward consumers
- FTC tools: substantiation of claims (1972), corrective advertising (Listerine, 1975, upheld 1977)
- Commercial speech protected by the First Amendment (1976), with limits (Central Hudson, 1980)
- Tobacco: Surgeon General (Jan. 1964), pack warning (1965), radio/TV ban (1970 law, effective Jan. 2, 1971), MSA (1998)
- MSA with 46 states: billboards and cartoon characters targeting the young restricted
- Regulation = federal law + FTC + state litigation + self-regulation (NAD, 1971)

KEY DATES

1914	Federal Trade Commission Act: FTC created
1938	Wheeler-Lea Act: unfair or deceptive acts toward consumers
1964	Surgeon General's report links smoking and cancer
1965	Cigarette Labeling and Advertising Act: warning on packs
January 2, 1971	Cigarette ads banned on radio and TV (Public Health Cigarette Smoking Act, 1970)
1976 / 1980	Supreme Court: commercial speech protected / Central Hudson limits
1998	Master Settlement Agreement (November, 46 states)

DON'T CONFUSE

- *FTC (advertising, business practices) | FDA (food, drugs)* : The FTC is the general authority on deceptive advertising.
- *1971 ban on radio and TV | Ban on all tobacco advertising* : Print and billboards stayed legal, then were restricted in 1998.

> ***Memory hook :*** *Tobacco ladder 64-65-71-98: report, warning, off the air, settlement.*

RECITE WITHOUT LOOKING

1. **What did the Wheeler-Lea Act (1938) change?**→ It extended FTC jurisdiction to unfair or deceptive acts toward consumers, allowing it to prosecute false advertising.
2. **Since when are cigarette ads banned on US radio and TV?**→ January 2, 1971 (Public Health Cigarette Smoking Act, 1970).
3. **Does US advertising enjoy constitutional protection?**→ Yes: commercial speech is protected by the First Amendment (1976), within limits (Central Hudson, 1980).
4. **What is corrective advertising? Give the example.**→ An FTC order to correct a false claim: Listerine (1975, upheld 1977) had to correct that it prevented colds.

05 The contemporary era

Key idea : The mass market split into segments from the 1950s-1960s, and digital media pushed targeting down to the individual through personal data, raising privacy issues.

- Wendell R. Smith (1956): product differentiation vs market segmentation
- Segments: young people (Pepsi Generation, 1963), working women, African American then Hispanic markets, lifestyles (VALS, 1978)
- Criteria: demographic, geographic, psychographic (values, lifestyle), behavioral (frequency, loyalty)
- Lizabeth Cohen, 'A Consumers' Republic' (2003): segmentation fragments the postwar mass market; cable (MTV, 1981)
- Digital: banner (Oct. 1994, HotWired, AT&T), Google AdWords pay-per-click (2000), Facebook ads (2007), programmatic real-time auctions
- Influencers: FTC requires disclosure of paid partnerships (Endorsement Guides)
- Zuboff: 'surveillance capitalism'; Cambridge Analytica (2018); no US equivalent of GDPR, only COPPA (1998, under 13) and state laws (California)

FORMULAS

- `Conversion rate = purchases / clicks (300 / 10,000 = 3%)`
- `CPC = cost per click; CPM = cost per thousand impressions`

DON'T CONFUSE

- *Product differentiation (attract the whole market) / Market segmentation (adapt offer to distinct groups)* : Wendell Smith's 1956 distinction.
- *Cookie (technical tracker) / Personal data (information about a person)* : The cookie collects; the legal issue is the data.
- *US framework (sector and state laws) / European GDPR (general regulation)* : The US has no general federal data protection law.

> ***Memory hook :*** *From one mass to many slices (Smith, Cohen) to one person per screen (cookies, Zuboff).*

RECITE WITHOUT LOOKING

1. **Targeting by values and lifestyle is which type of segmentation?** → Psychographic (e.g. VALS, 1978).
2. **Give four landmarks of US digital advertising.** → First banner (1994, HotWired), AdWords pay-per-click (2000), Facebook advertising (2007), Cambridge Analytica scandal (2018).
3. **10,000 clicks, 300 purchases: conversion rate?** → 3%.
4. **How is personal data protected in the US?** → No general federal law like GDPR: sector laws (COPPA 1998, children under 13) and state laws (California); FTC disclosure rules.

06 Method

Key idea : Analyzing an ad means identifying it, describing it, decoding denotation and connotation, explaining its persuasion and interpreting it in its historical context.

- Identify: advertiser, brand, product, medium, date, presumed target
- Describe: headline, body copy, visual, tagline/slogan, logo, call to action
- Barthes ('Rhétorique de l'image', 1964): denoted message (what is seen) vs connoted message (cultural meanings); Panzani 'Italianicity'
- Persuasion: logos (argument), ethos (credibility), pathos (emotion); AIDA path
- Context: period and school (reason-why, USP, creative revolution)
- Critical interpretation: gender roles, ethnic representations, values, stereotypes, omissions

FORMULAS

- `AIDA = Attention, Interest, Desire, Action`

DON'T CONFUSE

- *Description (what you see) / Analysis (what it means and why)* : Description is only one step.
- *Presumed target (inferred) / Actual target (known to the advertiser)* : Without a source, speak of a presumed target.
- *Denotation / Connotation* : 'A smiling woman in a kitchen' is denotation; 'modernity, prosperity' is connotation.

> ***Memory hook :*** *I-D-D-C-P-C-I: Identify, Describe, Denote, Connote, Persuade, Context, Interpret.*

RECITE WITHOUT LOOKING

1. **What is the English term for the argumentative text of an ad?** → Body copy.
2. **What are Barthes's two levels of the image?** → Denoted message (literal) and connoted message (cultural associations), e.g. Panzani's 'Italianicity'.
3. **1950s fridge ad, 'Give her the kitchen she deserves': what to note?** → Presumed target the husband; gendered division of roles; the fridge connotes modernity and postwar prosperity.

LEARN BY HEART

1. N. W. Ayer & Son 1869; 'salesmanship in print' 1904; Hopkins 'Scientific Advertising' 1923
2. Brands: Ivory 1879, Coca-Cola 1886, Uneeda 1898; Pure Food and Drug Act 1906
3. Bernays: 'Propaganda' 1928, 'torches of freedom' 1929, 'engineering of consent' 1947
4. Nielsen 1923; Gallup at Y&R 1932, AIPO 1935, correct forecast 1936; Packard 1957
5. TV households: under 10% (1950) → about 90% (1960); quiz show scandals 1958-1959
6. USP: Rosser Reeves, Ted Bates, 'Reality in Advertising' 1961, M&M's
7. DDB: VW 'Think Small' 1959, Avis 'We try harder' 1962; Marlboro Man 1955
8. FTC 1914; Wheeler-Lea 1938; commercial speech 1976; Central Hudson 1980
9. Tobacco: 1964 report, 1965 warning, Jan. 2, 1971 radio/TV ban, 1998 MSA
10. Wendell Smith 1956; Pepsi Generation 1963; VALS 1978; MTV 1981
11. Digital: banner 1994, AdWords 2000, Facebook ads 2007, Cambridge Analytica 2018; COPPA 1998
12. Ad analysis: denotation/connotation (Barthes 1964), logos/ethos/pathos, AIDA

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TRAPS TO AVOID

- Believing all tobacco advertising was banned in 1971: only radio and TV
- Thinking a bigger sample is more reliable: representativeness is what counts (1936)
- Confusing PR (opinion, indirect, unpaid channels) with advertising (paid space)
- Saying US advertising has no constitutional protection: commercial speech is protected, within limits
- Treating the USP as any catchy slogan, or the creative revolution as part of the counterculture
- Stopping at description in an ad analysis, or calling the presumed target the actual target